STRATEGY PROPOSAL

The Cosmo Circle

Turning word of mouth into repeat sales

A growth strategy for Cosmo in Nigeria: the market, the competition, and a community-led plan to sell more, with every sale measured.

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Every figure was checked against its source page on 28 October 2026. Figures that could not be confirmed were corrected or removed. Source links are clickable.

01

The recommendation in brief

Cosmo should not pay ₦150m for one influencer. It should spend ₦138m over 12 months, plus team fees partly paid on results, building the **Cosmo Circle**: a community of verified buyers who meet, share and sell, with every sale tracked by code. The target is to double monthly revenue by October 2027, with 25,000 verified members and 35% of them buying again within 90 days.

2×	25,000	35%	₦138m
monthly revenue by October 2027	verified members by October 2027	of members buying again within 90 days	programme budget, staged over 12 months

Why this, not the celebrity:

- **Nigerian beauty buyers trust people, not ads.** 7 in 10 beauty clients rely on personal recommendations, and 2 in 3 prefer businesses that reward them. The stranger praising Cosmo proves this is already working.
- **The market grows mostly through price.** Naira sales rose 23% in 2025 with inflation near 20%. Growth has to come from loyalty and share, which a community builds and a one-off post does not.
- **Fear of fakes is the market's loudest complaint.** A code in every pack answers it and makes each sale measurable.
- **The risk is staged.** Money is released in three phases tied to targets. The first phase risks ₦28.5m; the influencer fee would need 13,000–33,000 extra orders to break even, untracked.

First 30 days:

1. Record the sales baseline (see Measurement).
2. Order pack codes and set up WhatsApp verification.
3. Hire a full-time community lead, and bring in Oneme Ahonaruogho as Creative Director.
4. Invite 100 founding members from existing buyers and the micro creators' audiences.
5. Hold the first Lagos Glow Session in December, during the festive season.

02

Where Cosmo starts

Cosmo is not a start-up: it is a UAE range with a large certified factory behind it, launched in Nigeria in September 2024 by its licence holder, GVS Cosmetics. What it lacks is local trust and repeat buying, not product supply.

Fact	Detail	Source
Owner and maker	Sterling Perfumes Group, Dubai; Cosmo brand founded 2018; sold in 80+ countries; a 1 million sq ft factory	Gulf News
Factory standards	GMP ISO 22716, ISO 9001:2015 and Halal certified; about 120m pieces a year	Cosmo Cosmetics UAE
Range	2,500+ products in 20+ categories worldwide; in Nigeria, skin, face, hair and body care	Observer Dubai, ThisDay
Nigerian launch	2024 launch event with Kcee, Flavour and Ric Hassani, and dermatologist Dr Ugo Amaechi on a panel	BrandSpur, Vanguard
Ambassadors	Nini, BamBam and Montana, named Nov 2024	ThisDay
Stated goal	Cosmo "in every Nigerian household" (Executive Director Obiora Nwosu)	ThisDay
Other West African markets	Ivory Coast and Ghana	ThisDay

What this changes in the plan:

- **No "Made in Nigeria" claim.** Cosmo wins on certified quality, reliable stock and a Nigerian community that proves the products on Nigerian skin.
- **Costs are in dirhams and dollars,** so every naira fall hits margins directly (see Challenges).
- **Awareness exists; loyalty doesn't yet.** The launch and ambassadors made people aware, and the micro creators got them talking. The Circle turns that talk into repeat sales.
- **"Organic" needs proof.** GVS says all products are "organic and free of harmful chemicals". In a market burned by fake "organic" creams, back it with ingredient lists, factory certificates and NAFDAC numbers, or drop the word.

03

Market size: big, young, and growing mostly through price

Nigeria's formal beauty and personal care market is worth roughly $1.2–1.6 billion a year. Naira sales rose 23% in 2025, but inflation was near 20%, so most of that growth is higher prices, not more units. Cosmo grows by winning share and repeat buyers, not by riding the market.

Measure	Figure	Source
Beauty and personal care retail value growth, 2025 (naira)	+23%, with a population of 237m and 4% real GDP growth	Euromonitor
Formal market, 2025 / 2026	$1.17bn / $1.22bn; 9.3% a year to $2.08bn by 2032; skin care about 30% of it	Markntel Advisors
Formal market, 2022	$1.64bn (+23%); skin care the largest segment at $382.7m	BusinessDay, citing Euromonitor
Whole market incl. open markets and informal sellers, 2025	$10.17bn; personal care $4.82bn	Beauty West Africa
Imports of perfumes, cosmetics and toiletries, 2025	$356.6m	Trading Economics, UN Comtrade
Population / median age, 2026	242.4m / 18.3 years (UN projection)	PopulationPyramids
Headline inflation, Sept 2026	14.63%, down from 15.39% in Aug and 20.98% a year earlier	Nairametrics, NBS data
Naira, 7 Oct 2026	₦1,332.75/$ at the official market	Nairametrics

What this means for Cosmo:

- **Most spending is outside formal retail.** The two size estimates differ almost nine-fold because one counts only formal shops. Open markets, salons and Instagram or WhatsApp vendors carry the rest, so Cosmo's sales plan must reach them.
- **2026–27 is a buying window.** Inflation has fallen from about 20% to 14.6%, so real spending power is starting to recover. Brands that build loyalty now keep it when wallets loosen.
- **Imported brands are not leaving the shelf.** Imports reached $356.6m in 2025 even as multinationals stopped making goods locally. Cosmo is one of those imports, so it wins on certified quality and reliable stock, not on price.

04

Major players and what they are doing

The multinationals are retreating from making goods in Nigeria and defending share with promotions. Local brands are winning with price, local ingredients and closeness to the customer. That gap, plus the hole Unilever left in soaps and body care, is where Cosmo fits.

Player	Type	What they are doing now	Lesson for Cosmo
NIVEA (Beiersdorf Nigeria)	Multinational, mass body care	Ran a ₦3bn national promotion into April 2026. Every entrant got instant airtime, and more than 2 million winners emerged nationwide.	Big brands now buy loyalty through proof of purchase. A code on every pack makes each sale measurable. Cosmo can copy this at small scale.
PZ Cussons Nigeria	Multinational, soaps and personal care	Year to May 2026: revenue ₦260.46bn; profit after tax up 349%, helped by scrap sales and gains from selling non-core assets.	The incumbent is fixing its balance sheet, not innovating. Mass soap and lotion is a price fight Cosmo should avoid.
Unilever Nigeria	Multinational	Stopped making and selling skin cleansing and home care in Dec 2023: Lux, Pears, Vaseline petroleum jelly, Omo and Key soap.	Shoppers who used those brands had to switch. Body care is open ground for a trusted name.
P&G and GSK	Multinationals	P&G went import-only in 2023 (a $50m sales market for it). GSK moved to a third-party distributor.	Imported goods carry dollar costs and stock gaps. Being reliably in stock is a selling point.
Fenty Beauty	Global celebrity brand	Launched in Nigeria in May 2022 with a Lagos event for over 200 guests.	A star launch creates a moment. Loyalty needs a local presence after it.
Zaron	Local, make-up and skin care	Affordable and made for African skin; wide pharmacy distribution makes it many Nigerians' first proper skin care purchase.	Being on the shelves people already visit matters. Cosmo needs resellers and pharmacies, not only Instagram.
Arami Essentials	Local, natural skin care	Short routines, locally sourced ingredients, clean packaging; known for its Glow Oil and Rosewater Elixir toner.	One or two hero products carry a young brand.
House of Coco	Local, acne and dark marks	A go-to for younger shoppers dealing with breakouts and dark marks.	Owning one skin problem gives people a reason to recommend you.
Oriki	Local, botanical	About 40 products, its own spa network and a men's range; consultations have built strong loyalty among professionals.	Physical experiences turn buyers into regulars.
Jumia	Online marketplace	NIVEA's owner partnered on Jumia's 13th-anniversary sale in 2025.	Big brands pay for marketplace visibility. Cosmo should list there, but own its customer data.
Counterfeit and banned sellers	Informal	NAFDAC found over ₦3bn of fake and banned cosmetics in one Lagos warehouse in Feb 2026, including 728 cartons of Crusader soap.	Fakes undercut genuine brands on price. Authenticity checks are a feature buyers value.

No source gives verified market shares for these brands; one report says the top five companies hold about 48% of the formal market (Markntel Advisors).

05

Consumers and trends

Nigerian beauty buyers are young, price-pressed and buy on recommendation from people they trust. Seven in ten rely on personal recommendations, and two in three prefer businesses that reward them. That is the strongest evidence that a community beats a single celebrity.

Trend	Evidence	What Cosmo does with it
Word of mouth decides	7 out of 10 rely on personal recommendations; 67.4% prefer businesses that offer rewards (Splice survey of nearly 500 beauty-service clients) (TechCabal, BellaNaija)	Reward members for referrals and repeat buys, tracked by code.
New beauty brands live or die by word of mouth	BusinessDay partner feature on Nigeria's new fragrance houses, June 2026 (BusinessDay)	Treat every happy customer as a channel.
Engagement and authenticity sell; reach doesn't	In a 2025 survey of 350 social media users in Osun State, engagement and authenticity significantly drove purchase intent; an influencer's reach and credibility did not (Redeemer's University study)	Keep micro creators; turn real customers into creators.
Shoppers switch on price	Almost 6 in 10 switched brands in the past year because of prices; toothpaste led at 52%, while beverages kept better loyalty (NielsenIQ 2025, via Nairametrics)	Win the trial with minis and bundles, then keep the buyer with loyalty perks.
Imports and local brands compete side by side	BusinessDay sizes skin care at ₦14trn and describes shoppers split between imported serums and Nigerian-made basics (BusinessDay)	Cosmo can't claim Made in Nigeria, so give it Nigerian faces: local members and hosts, and results shown on Nigerian skin.
Dark marks, uneven tone and science-backed claims	Demand for hyperpigmentation and even-tone products is driving innovation; clinical brands Urban Skin Rx (2025) and Sesderma (2026) entered (Markntel Advisors)	Own one visible problem, with before/after proof from members.
Fragrance is booming among the young	Perfume revenue projected above $947m for 2025; perfume oils gaining with young buyers (BusinessDay)	GVS already sells perfumes and body sprays; scent is a natural add-on to bundles.
Men are an underserved segment	Men's grooming estimated at $311.7m in 2024, growing about 4.25% a year to 2033 (BeautyMatter)	A later phase: a men's chapter of the community.
Discovery on TikTok, buying on Instagram and WhatsApp	WhatsApp is used by 96.5% of internet users; TikTok ad reach 47.8m; Instagram ad reach 10.0m and falling 6.1% a year (Krestel, citing DataReportal)	TikTok for reach, WhatsApp for sales and community.
TikTok Shop is not open to Nigerian sellers	Nigeria is not on TikTok's published list of TikTok Shop regions (Lilach Bullock)	Don't plan sales around it yet; send traffic to WhatsApp and the website.

The survey figures above are small samples or secondary reports. Cosmo's own customer data, gathered as the plan runs, should replace them within 90 days.

06

What the market is saying

The loudest message is "I don't know what's real." Buyers fear fakes and hidden bleaching agents, and they are squeezed on price. A brand that proves authenticity and safety, and makes buyers feel looked after, answers both.

What people are saying	Evidence	Cosmo's answer
"Is this original?"	Bioré publicly said its products are not sold in Nigeria, so anything on sale there is suspect (ARISE). Vaseline launched a WhatsApp authentication tool in April 2026 to fight fakes (BusinessDay).	A unique code on every pack, checked on WhatsApp. It proves authenticity and records the sale.
"Organic" labels can't be trusted	NAFDAC sealed a Lagos maker selling "organic" products with banned bleaching agents (Gazette). A Port Harcourt dermatologist says most creams branded organic contain undeclared steroids (BusinessDay).	Drop "organic" unless certified. Show the NAFDAC number, full ingredients, the factory's ISO 22716 and Halal certificates, and a dermatologist at events.
Skin damage from lightening is common	77% of Nigerian women frequently use skin-lightening products (WHO survey, cited in Scientific Reports, 2023). A Lagos dermatologist says 4 in 10 of her daily patients have damage from lightening (BusinessDay).	Position Cosmo on healthy, even skin, never lighter skin.
"Prices keep going up"	A weaker naira raised production and import costs, so makers raised prices and sales volumes suffered (Euromonitor, via BusinessDay). A student told Zikoko she would rather spend food money on skin care (Zikoko).	Minis, refills and member prices make Cosmo affordable without cutting the list price.
Buy from verified vendors only	Buyers turn to verified vendors to avoid counterfeits (Zikoko).	A public list of Cosmo-verified resellers, each with a code to track their sales.

No source measured sentiment on X or TikTok directly. Cosmo should run a simple monthly social listening count (mentions, praise versus complaints) from week one.

07

Challenges

The biggest risks to a sales push are price pressure, fakes and advertising rules. All three are manageable if planned for up front.

Challenge	Evidence	How the plan handles it
Inflation and weak spending power	Headline inflation 14.63% (Sept 2026), food 19.59% (Nairametrics)	Entry-price minis and bundles; member prices instead of public discounts.
Naira and import costs	₦1,332.75/$ in Oct 2026 (Nairametrics); dollar costs pushed P&G to import-only and GSK to a distributor (ThisDay)	Cosmo is made in Dubai, so a weaker naira raises landed cost at once. Buy stock ahead when the naira is stable, review prices quarterly, and protect margin with bundles, not price cuts.
Counterfeits and banned products	Over ₦3bn of fake and banned cosmetics found in one Lagos warehouse, Feb 2026 (Nairametrics)	Pack codes, WhatsApp verification and a published reseller list. Success will attract fakes, so start now.
NAFDAC registration for new products	Imported cosmetics: about $13,000–14,000 per product, against ₦65,000–₦210,000 for locally made (Mondaq); 60–90 working days for small firms (NAN)	Launch with products already registered. Bring in new products only when member demand justifies the cost, and file at least four months ahead.
ARCON pre-approval of ads, including influencer posts	ARCON began enforcing vetting of online ads in March 2026, with ₦1m fines for unapproved ads (BusinessDay). A court voided ARCON's ₦60bn Facebook fine in June 2026 (Tribune), and an advertising offences tribunal opened in Aug 2026 (Nairametrics).	Vet each campaign's core creative once with ARCON. Unprompted reviews by real customers are generally not adverts; posts Cosmo pays or rewards for may be. Confirm the line with a lawyer before launch.
Fragmented, informal distribution	Most spending is outside formal retail (see market size)	Turn top community members into paid resellers with their own codes.
Measuring influencer results	Published Nigerian influencer rates are agency guide ranges, not real deal data (Nitro)	Every creator and member gets a unique code; pay on sales, not posts.

08

The ₦150m influencer question

Do not pay ₦150m upfront for one influencer. At a typical margin, that fee needs 13,000–33,000 extra orders just to break even, with no way to prove which sales it caused. For about the same money, Cosmo can fund a full year of the community programme (₦138m), where every sale is tracked.

What ₦150m is in context. It is about $113,000 at ₦1,332.75/$. Agency guide rates put celebrity posts (1m+ followers) at ₦3m and up, and micro creators (10,000–50,000 followers) at ₦50,000–₦250,000 (Nitro). Another guide puts accounts of 500,000–1m followers at ₦2m–₦8m a post (Snippet). So ₦150m buys at most about 50 celebrity posts at the entry rate, or 600–3,000 micro posts.

Break-even orders for a ₦150m fee (assumes a 45% gross margin; replace with Cosmo's real numbers):

Average order	Margin per order	Extra orders to break even
₦10,000	₦4,500	33,300
₦15,000	₦6,750	22,200
₦25,000	₦11,250	13,300

For a 2 million-follower account, 22,200 orders means more than 1 in 100 followers buying. Engagement on mega accounts is often only 0.5–1% (Hypefy), so nearly everyone who even likes the post would have to buy. Sampled Nigerian creator accounts also show around 20% fake followers (Modash).

Why the micro campaign worked, and why it scales. A stranger praising Cosmo is word of mouth, the channel 7 in 10 Nigerian beauty buyers rely on. A 2025 Nigerian study found that engagement and authenticity drive purchase intent, while an influencer's reach does not. The next step is to multiply those voices, not replace them with one.

Cosmo already has three ambassadors. Nini, BamBam and Montana have fronted the brand since November 2024 (ThisDay). Before adding a bigger name, give each of them a unique code for 60 days. Their results set the bar any ₦150m name must beat.

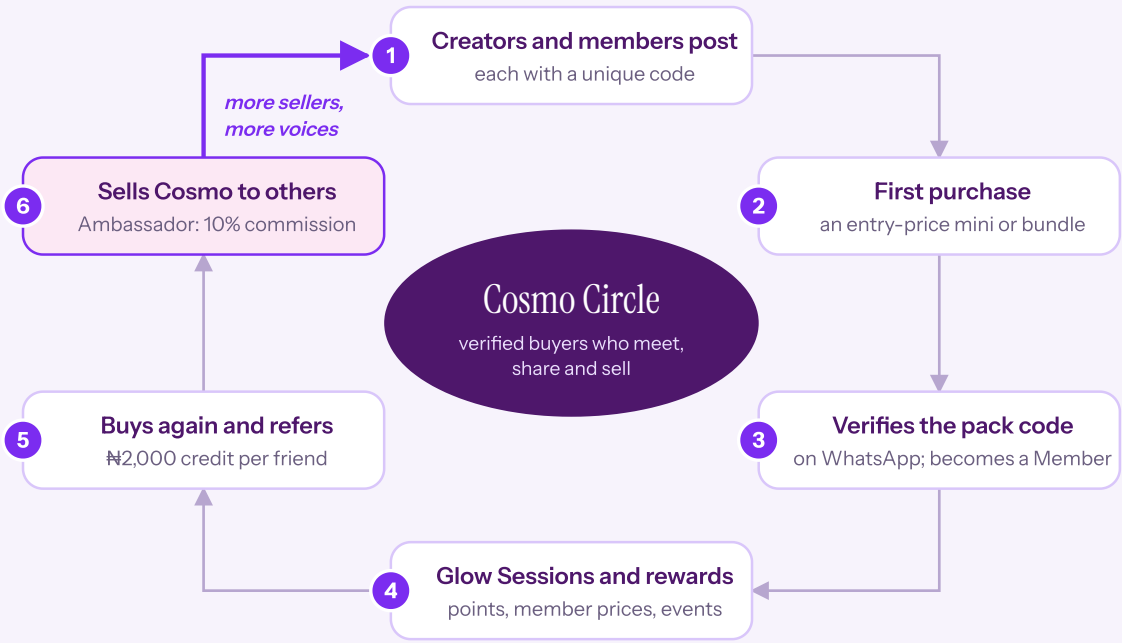
If the CEO still wants a big name, use this test before any contract:

1. Audit the account: fake-follower share under 15%, at least 70% of the audience in Nigeria, matching age and gender.
2. Pay for one test post and stories at their per-post rate, with a unique discount code and link.
3. Sign only if the test delivers a cost per order below Cosmo's target (see Measurement).
4. Structure any deal as a smaller fixed fee plus a commission per tracked sale, paid monthly.
5. Use them as host of Cosmo's flagship community event, not only as a face on posts.
6. Get ARCON approval for the creative before it goes live.

09

The strategy: build the Cosmo Circle

Turn every buyer into a verified member, every member into a repeat buyer, and the best members into sellers. The micro-influencer work proved word of mouth works for Cosmo. The Circle makes it repeatable and trackable, with rewards paid out of the sales they create.



Read clockwise from 1. Step 6 feeds step 1: every Ambassador's post brings in new buyers. Every step leaves a code, so the loop is measured weekly.

Creators bring first buyers, pack codes turn them into members, rewards and sessions bring them back, and the best members sell, which brings in the next buyers.

Positioning. Verified original, made in a certified factory and proven on Nigerian skin by Nigerian members, for healthy, even skin — never lighter skin. Each claim answers something the market is saying (see above).

Five moves:

1. **A code in every pack.** Each pack carries a unique scratch-code sticker, applied at GVS's Nigerian warehouse because packs arrive finished from Dubai. Buyers send it to Cosmo's WhatsApp number to confirm the product is genuine, earn points and join the Circle. Anonymous sales become named customers, and fakes become easy to spot. NIVEA and Vaseline already run this mechanic in Nigeria.
2. **Three membership tiers** (table below), so there is always a next level worth reaching.
3. **Gatherings people want to attend.** Monthly "Glow Sessions" of 40–60 people, in Lagos first, then Abuja and Port Harcourt. Each has a dermatologist talk, skin consultations, product trials and a members-only bundle. Tickets cost ₦5,000 and come back as a ₦5,000 product voucher, so sessions attract real buyers and drive sales on the day. Twice a year, a "Cosmo Day" brings 300–500 members together. About four pop-ups a year in malls, markets and campuses take Cosmo to new buyers, with every sale on a code.

4 **Creators paid for sales, not posts.** Keep 20–25 micro creators a month, each with a unique code and link. Pay a base fee plus commission. Each month, rank creators by cost per sale (what Cosmo pays them, divided by the orders on their code): rebook the best third, and drop any creator whose cost per sale stays above ₦5,000 for two months running. Separately, customers who post their own before-and-after results enter a monthly "Glow Challenge" for prizes.

5 **Members who sell.** Ambassadors get a personal code and 10% commission. The best become verified resellers buying at wholesale, listed publicly so buyers know where genuine Cosmo is sold. It puts Cosmo on more shelves without opening shops.

Tier	Who qualifies	What they get	What Cosmo gets
Member	Any buyer who verifies a pack code	5% back in points, ₦2,000 credit per referred friend, member bundle prices, a birthday gift, a monthly live skin Q&A	Name, phone, city and purchase history
Insider	3+ purchases or 3 referrals in 6 months	Early access to launches, Glow Session invites, a product-testing panel, a vote on the quarterly product release	Repeat sales, referrals and product feedback
Ambassador	Top 1–2% by referrals and content, by application	A personal code with 10% commission, a content kit, a monthly call with the founders, the option to resell at wholesale	A sales force paid only on results

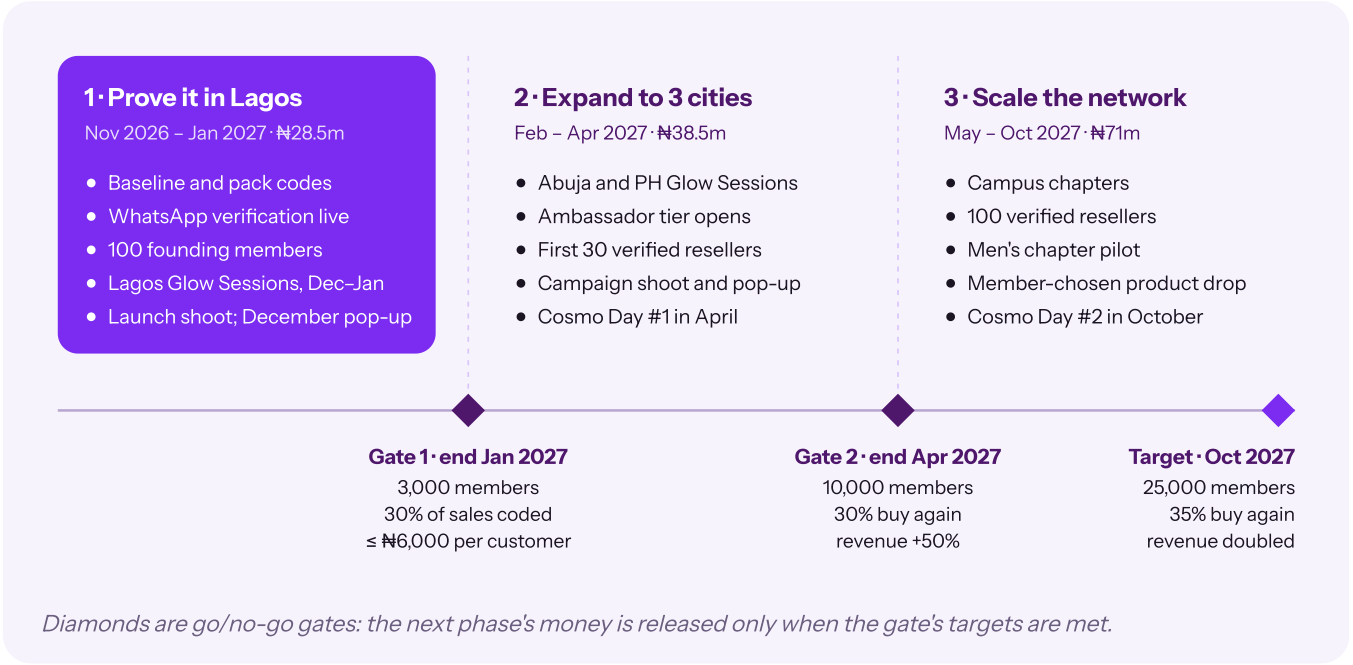
Product mechanics that support it: an entry-price mini or trial kit for first-time buyers, refills and household bundles across skin, hair, body, men's and baby care for members, and one release each quarter that members pick from Cosmo's global range of 2,500+ products.

Who runs it: Oladapo Olayinka leads the strategy and the weekly review. Oneme Ahonaruogho, as Creative Director, owns the Cosmo Circle look, campaign shoots, ads, pop-ups, creator briefs, Glow Session and Cosmo Day design, and the material sent to ARCON for vetting. A community lead and a data officer join in November.

10

Roadmap

The plan runs in three phases over 12 months. Each phase's money is released only when the phase before hits its gate.



Diamonds are go/no-go gates: the next phase's money is released only when the gate's targets are met.

Phase 1 starts in Lagos in December, the city's busiest spending season: Detty December 2025 drew an estimated ₦396.5bn of spending from about 3.6 million participants (BusinessDay). Gift bundles and the first Glow Sessions ride that season, and February's Valentine gifting follows.

11

Measurement

One rule makes the plan measurable: no sale without a code. Pack codes, creator codes, referral codes and reseller codes tie almost every naira back to its source. The headline target is double monthly revenue by October 2027, against a baseline set in November 2026.

Before launch, record the baseline: monthly revenue and orders for the last six months, average order value, gross margin per product, repeat-purchase rate, and sales by city and channel.

KPI	How it is measured	Month 3 (Jan 2027)	Month 6 (Apr 2027)	Month 12 (Oct 2027)
Monthly revenue vs baseline	Sales records	+20%	+50%	+100%
Verified members	Pack codes sent to WhatsApp	3,000	10,000	25,000
Share of sales carrying a code	Codes ÷ all orders	30%	50%	70%
90-day repeat purchase rate	Members who buy again within 90 days	20%	30%	35%
New customers from referrals	Referral codes ÷ new customers	10%	15%	25%
Cost per new verified customer	Plan spend ÷ new members	≤ ₦6,000	≤ ₦5,000	≤ ₦4,500
Creator cost per tracked order	Creator fees ÷ orders on their codes	≤ ₦5,000	≤ ₦4,000	≤ ₦3,000
Glow Session buyers	Attendees who buy within 14 days	50%	60%	60%
Active Ambassadors (10+ orders a month)	Ambassador codes	10	50	150
Verified resellers	Reseller codes with monthly orders	0	30	100
Unprompted social mentions	Monthly count on X, TikTok and Instagram	1.5x baseline	2x	4x
Member satisfaction (NPS)	Two-question WhatsApp survey each quarter	40+	50+	50+

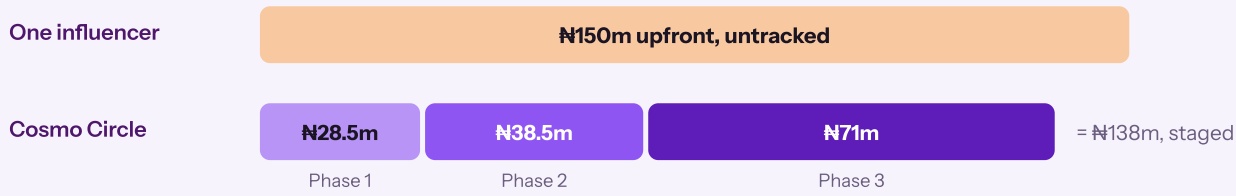
Tools: WhatsApp Business with an approved API provider for code checks and broadcasts; one customer sheet or CRM keyed on phone number; the existing online store's discount codes; a weekly dashboard reviewed every Monday by the CEO and the community lead.

Go/no-go gates: Phase 2 money is released only if Month 3 hits at least 3,000 members, 30% coded sales and a cost per customer of ₦6,000 or less. Phase 3 needs 10,000 members, 30% repeat and +50% revenue at Month 6. Miss a gate and the plan pauses to fix the weakest number before spending more.

12

Budget

The programme costs ₦138m over 12 months, released in three stages. If Phase 1 fails its gate, Cosmo stops having spent ₦28.5m, not ₦150m.



Phase 1 risks ₦28.5m; later phases unlock only when targets are hit. Team fees are set out below the table.

Line (₦m)	Phase 1: Nov–Jan	Phase 2: Feb–Apr	Phase 3: May–Oct	Total
Pack codes, WhatsApp API, customer database	5.0	1.5	1.5	8.0
Community lead and data officer	3.0	3.0	6.0	12.0
Creative Director, Oneme Ahonaruogho (₦1m a month)	3.0	3.0	6.0	12.0
Micro creator base fees (₦2.5m a month)	7.5	7.5	15.0	30.0
Glow Sessions at ₦0.6m each (2, 9, then 18 sessions)	1.2	5.4	10.8	17.4
Cosmo Day (one in April, one in October)	–	7.5	7.5	15.0
Pop-ups at ₦1.5m each (1, 1, then 2)	1.5	1.5	3.0	6.0
Paid boosts of the best member and creator content	3.0	3.0	6.0	12.0
Content production: campaign shoots, ads and ARCON vetting	3.0	4.5	6.5	14.0
Campus chapters	–	–	5.0	5.0
Contingency	1.3	1.6	3.7	6.6
Total	**28.5**	**38.5**	**71.0**	**138.0**

Paid from sales, not from this budget: creator and Ambassador commissions (10% of coded sales), ₦2,000 referral credits and 5% loyalty points. Together these take about 15% of tracked sales, and only when the sales happen.

Team fees, outside this budget. Oladapo Olayinka's strategy fee (₦4m) and retainer (₦1.75m a month) are set in a separate engagement letter; Oneme's ₦1m a month is in the budget above. A ₦15m bonus pool is paid only when the January, April and October targets are met: two-thirds to Oladapo, one-third to Oneme. All in, GVS spends about ₦163m over the year if the targets are missed and about ₦178m if every target is hit. The ₦150m bought one influencer; this buys a team, a year of campaigns and tracked sales.

What it must return. At a 45% gross margin, less about 15% for commissions and rewards, each naira of extra sales leaves about 30 kobo. So the ₦138m programme pays back once the plan adds about ₦460m of sales, or about ₦545m including the team's fixed fees. If the revenue targets are hit, the year adds roughly six months of

current sales. The programme alone therefore pays back in year one only if Cosmo already sells about ₦77m a month. Below that, keep total spend near 1.8 times current monthly sales, or accept payback in year two as members keep buying.

All line items are planning estimates. Get three quotes for codes, the WhatsApp provider, shoots and pop-ups, and confirm venue costs, before Phase 1. The optional big-name test is no longer budgeted, because Oneme's campaigns replace it; if CJ still wants one, fund it from Phase 2 boosts and contingency.

13

Risks and open questions for the CEO

The main risk is the community feeling like a sales scheme. It must give value first: education, events and recognition, with selling second.

Risk	Early warning sign	What we do
The Circle feels like spam	Members leave WhatsApp groups; low event turnout	At most two broadcasts a week; city groups run by moderators with clear rules; most content is skin education, not offers.
A bad skin reaction goes viral	Complaints rise in social listening	Dermatologist partner on call; reply to any complaint within 24 hours; patch-test advice on every pack.
Fakes follow success	Codes reported as already used; complaints about texture or smell	Pack codes, a public reseller list, and reports to NAFDAC.
Customer data misuse	Opt-outs or complaints	Opt-in consent at code entry, in line with the Nigeria Data Protection Act 2023; the regulator fined Fidelity Bank ₦555.8m for processing data without consent (IT Edge News).
Sponsored posts breach ARCON rules	A notice from ARCON	Vet campaign creative before it runs; brief every creator on disclosure.
Demand outruns stock	Stock-outs on hero products	Monthly sales forecast from coded data; agree a reorder trigger with production.
Costs jump with the naira	Supplier price rises	Quarterly price review; member prices protect loyal buyers first.

Open questions to settle before Phase 1:

- [ ] What are Cosmo's monthly revenue, orders, average order value and gross margin for the last six months?
- [ ] What share of buyers have bought more than once?
- [ ] Which product is the hero, and which skin problem does it solve best?
- [ ] Is every product NAFDAC-registered, and is anything new planned in the next 12 months?
- [ ] Which cities and channels do sales come from today?
- [ ] Who is the ₦150m influencer: follower count, audience location, fake-follower share, and what exactly does the fee cover?
- [ ] Can GVS's stock pipeline from Dubai handle twice today's volume by October 2027?
- [ ] Who will own the community full-time from November?
- [ ] Does GVS's licence allow its own pack stickers, promotions and requests for new products from Sterling?
- [ ] What is the landed cost and margin per product after freight and duty?

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Sources

Every figure in this doc was checked against its source page on 28 October 2026. Figures that could not be confirmed were corrected or removed. Paid reports (Euromonitor, Markntel) were checked against their public summaries only.

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